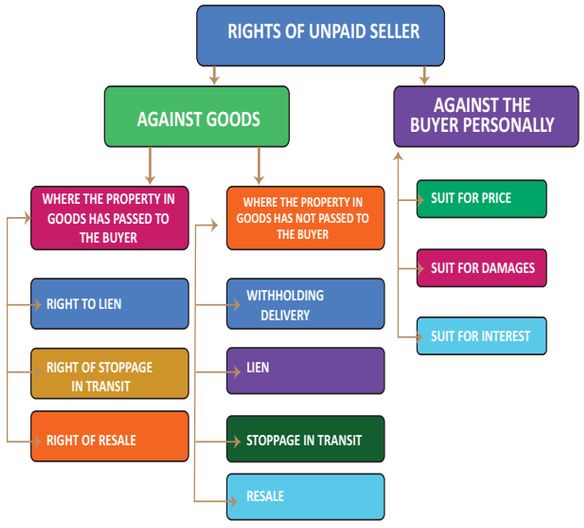
from 'A' a tin of disinfectant powder. 'A' knew that the lid of the tine was defective and that if it was opened without special care, it might be dangerous. Yet 'A' did not warn 'C'. 'C' opened the tine in the usual way whereupon the powder flew into her eyes, causing injury. Held that 'A' was liable in damage to 'C' as he should warned 'C' of the probable danger.

Unpaid Seller - Meaning

A seller is deemed to be an unpaid seller (a) when the whole of the price has not been paid or (b) a bill of exchange or other negotiable instrument given to him has been dishonoured. Thus it would be obvious that a seller who has received only a part of the price is also an unpaid seller. Seller includes not only the actual seller but also an agent of a seller or a consignee.

21.06 Rights of an Unpaid Seller



Rights of an Unpaid Seller

I. (a). Rights of an Unpaid Seller against the Goods

(i) Where the Property in the Goods has Passed to the Buyer

a. Right of Lien: An unpaid seller has a right to retain the goods till he receives the price. But to exercise this lien

i. He must be in possession of goods

ii. The goods must have been sold without any stipulation as to credit or where goods have been sold on credit, the terms of credit must have expired. He can also exercise the right of lien when the seller becomes insolvent.

iii. It must be remembered that the right of lien depends on actual possession. Thus where the seller has transferred to the buyer the documents of title to the goods, his lien is not affected so long as he continues to be in possession of the goods.

For eg.'A' has sold the 10 TV sets to 'B' and transferred the documents of title to the goods to 'B' by courier service. But goods are under the custody of 'A' ready for despatching to booking office. Meantime, 'B' became insolvent. In this case, 'A' can retain the goods.

Where an unpaid seller has made a part delivery of the goods, he has lien on the reminder. However, if delivery of a part is intended as a delivery of the whole, then this lien is lost.

Right of Lien is Lost

(a) When he delivers the goods to a carrier or other bailee for the purpose of transmission to the buyer without reserving the right of disposal of the goods. eg. 'X' of Delhi sold some goods to 'Y' of Bombay and took the railway receipt in the name of 'Y' and sent the railway receipt to 'Y'. In this case, 'X' has not reserved the right of disposal of goods. (or)

(b) When the buyer or his agent lawfully obtains possession of them. In other words, buyer took delivery from booking office (or)

(c) When the seller waives his right of lien

(b). Right of Stoppage in Transit

Where the seller has delivered the goods to a carrier or other bailee for the purpose of transmission to the buyer, but the buyer has not acquired them, then the seller can stop the goods and regain the possession. In other words, goods must be neither with the seller nor with the buyer but should be in the hands of a carrier. Further, the buyer must have become an insolvent.

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